

popular. It enables you to pay off your funeral service and your casket right now while you can still afford it, so your family won't have to pay for it later. Even if the cost has tripled by the time you require a funeral service, you're locked in at the old prices. This is a great deal for the family of the deceased, and an even greater deal for the company.

SCI gets the money from its pre-need sales right away, and the cash just keeps on compounding. If they sell \$50 million worth of these policies each year, it will add up to billions by the time they've had all the funerals. Lately they've gone beyond their own operations to offer the pre-need policies to other funeral homes. Over the past five years the sales of prearranged funerals have been climbing at 40 percent a year.

Once in a while a positive story is topped off by an extraordinary kicker, an unexpected valuable card that turns up. In SCI's case it happened when the company struck a very lucrative bargain with another company (American General) that wanted to buy the real estate under one of SCI's Houston locations. In return for the rights to this land, American General, which owned 20 percent of SCI's stock, gave all their stock back to SCI. Not only did SCI retrieve 20 percent of its shares at no cost, but it was allowed to continue to operate the funeral home at the old location for two years, until it could open a new home at a different site in Houston.

The best thing about this company is that it was shunned by most professional investors for years. Despite an incredible record, the SCI executives had to go out on cavalcades to beg people to listen to their story. That meant that amateurs in the know could buy stock in a proven winner with a record of solid growth in earnings, and at much lower prices than they'd have to pay for a hot stock in a popular industry. Here was the perfect opportunity—everything was working, you could see it happening, the earnings kept increasing, there was rapid growth with almost no debt—and Wall Street turned the other way.

Only in 1986 did SCI develop a big following among the institutions, who now own over 50 percent of the shares, and more analysts started covering the company. Predictably the stock was a twentybagger before SCI got Wall Street's full attention, but since then it has greatly underperformed the market. In addition to the burdens of high institutional ownership and broad coverage by brokers, the company has been hurt in the last few years by entering the casket business through two acquisitions that have not contributed to profits. Also, the price of buying quality funeral homes and cemeteries has risen sharply, and the growth in pre-need insurance has been less than expected.

(8) IT'S A NO-GROWTH INDUSTRY